

of crowds, and corresponding descents. A good example was in the middle of 2016, when the new blockchain architecture Steemit caught everyone's attention. Its premise was to provide an open publishing or blogging platform on which authors who wrote good articles and posts were rewarded by readers with the cryptoasset steem. Steemit served as a decentralized Reddit of sorts, with flavors of the blogging site Medium mixed in. The architecture was supported by a convoluted, albeit innovative, flow of monetary policy between miners, content creators, content curators, and more.

On July 1, 2016, the total network value of Steemit was around \$16 million. Two weeks later it was around \$350 million, a more than 20-fold increase.²⁰ Such rapid changes in price are almost always fueled by mass speculation and not fundamental growth. Behavior changes slowly, and many of the use cases put forth by cryptoassets will require the mainstream to adapt to these new platforms. Speculators, on the other hand, move quickly.

As shown in [Figure 10.4](#), steem's price in bitcoin terms would fall from its mid-July peak by 94 percent three months later, and by 97 percent at the end of the year. This doesn't mean the platform is bad. Rather, it shows how the speculation and excitement about its prospects fueled a sharp rise and fall in price.